

4. *Financial Position.* The three manufacturing companies are in sound financial condition, having better than the standard ratio of \$2 of current assets for \$1 of current liabilities. Emery Air Freight has a lower ratio; but it falls in a different category, and with its fine record it would have no problem raising needed cash. All the companies have relatively low long-term debt. “Dilution” note: Emerson Electric had \$163 million of market value of low-dividend convertible preferred shares outstanding at the end of 1970. In our analysis we have made allowance for the dilution factor in the usual way by treating the preferred as if converted into common. This decreased recent earnings by about 10 cents per share, or some 4%.

5. *Dividends.* What really counts is the history of continuance without interruption. The best record here is Emhart’s, which has not suspended a payment since 1902. ELTRA’S record is very good, Emerson’s quite satisfactory, Emery Freight is a newcomer. The variations in payout percentage do not seem especially significant. The current dividend yield is twice as high on the “cheap pair” as on the “dear pair,” corresponding to the price/earnings ratios.

6. *Price History.* The reader should be impressed by the percentage advance shown in the price of all four of these issues, as measured from the lowest to the highest points during the past 34 years. (In all cases the low price has been adjusted for subsequent stock splits.) Note that for the DJIA the range from low to high was on the order of 11 to 1; for our companies the spread has varied from “only” 17 to 1 for Emhart to no less than 528 to 1 for Emery Air Freight.* These manifold price advances are characteristic of most of our older common-stock issues, and they proclaim the great opportunities of profit that have existed in the stock markets of the past. (But they may indicate also how overdone were the declines in the bear markets before 1950 when the low prices were registered.) Both ELTRA and Emhart sustained price shrinkages of more than 50% in the 1969–70 price break. Emerson and Emery had serious, but less distressing, declines; the former rebounded to a new all-time high before the end of 1970, the latter in early 1971.

General Observations on the Four Companies

Emerson Electric has an enormous total market value, dwarfing the other three companies combined.* It is one of our “good-will giants,” to be